

## 2.4. No transfer: sale of opponent's subsidiary company

In T 711/99 (OJ 2004, 550) the board emphasised that the exception stated in G 4/88 to the general principle that an opposition was not freely transferable should be construed narrowly. In G 4/88 the Enlarged Board had considered a situation where the commercial vehicles department, which was subsequently sold, was without legal personality. The company which filed the opposition was the only one entitled to do so. In T 711/99, by contrast, the issue was whether the opponent parent company should be recognised, in the event of the sale of a subsidiary that has always been entitled itself to file oppositions, as having the right to transfer its opponent status. The board denied this and held that the opponent status could only be transferred together with the assignment of part of the commercial activity of an opponent with sole legal authority where the transferred company division or department did not have that status and therefore lacked legal personality. It added that the notion of legitimate interest in the proceedings, which was irrelevant for the admissibility of an opposition at the time of its filing, likewise had no bearing on the opponent's status at any subsequent stage.

In T 1091/02 (OJ 2005, 14) the board challenged the case law subsequent to G 4/88 which required, for a transfer of opponent status outside universal succession, a transfer of the relevant business or part of it (T 659/92, T 670/95, T 298/97, T 711/99). It referred to the Enlarged Board questions which included the following: can a legal person who was a wholly owned subsidiary of the opponent when the opposition was filed and who carries on the business to which the opposed patent relates acquire opponent status if all its shares are assigned by the opponent to another company and if the persons involved in the transaction agree to the transfer of the opposition? In G 2/04 (OJ 2005, 549) the Enlarged Board decided that there was no convincing reason, in particular not any overriding interest of the parties or the public, to extend the application of the rationale of G 4/88 to the case where a subsidiary company was sold in whose interest the opposition had been filed by the parent company. Thus, a legal person who was a subsidiary of the opponent at the time when the opposition was filed and who carries on the business to which the opposed patent relates cannot acquire the status as opponent if all its shares are assigned to another company. In its reasoning, the Enlarged Board emphasised that in G 4/88 the Enlarged Board was faced with a situation in which, for legal reasons, it was not possible from the outset to attribute the procedural status of opponent to the business in whose interest the opposition was filed, whereas the Enlarged Board in G 2/04 was concerned with the situation in which the holding company did not want to attribute the procedural status of opponent to the entity in whose interest the opposition was filed. The opponent could easily have made provision for a future eventuality that its subsidiary should take over the responsibility for the opposition. If the holding company and subsidiary had filed the opposition as common opponents, the holding company could have withdrawn from the opposition at any time, leaving the subsidiary as the sole opponent. The Enlarged Board noted that a liberal admission of transfers could often result in the need to examine contested questions of fact or difficult questions of company law. This would broaden the possible procedural battlefields for the parties and give rise to complications and delays in opposition proceedings.

## 2.5. Legal uncertainty as to who is the correct party

In G 2/04 the Enlarged Board also considered the issue of what could be done if there was a justifiable legal uncertainty as to how the law was to be interpreted in respect of the question of who the correct party to the proceedings is. It decided that in such a situation it was legitimate that the appeal was filed in the name of the person whom the person acting considers, according to his interpretation, to be the correct party, and at the same time, as an auxiliary request, in the name of a different person who might, according to another possible interpretation, also be considered the correct party to the proceedings.

For an example of a case where a justifiable legal uncertainty as to the person entitled to appeal existed, see T 1091/02 of 28 June 2006.

## 2.6. Evidence for and effect of a transfer

The EPC does not contain any explicit provisions regarding the formal requirements for the transfer of opponent status. Nevertheless, the boards of appeal have consistently held that formal requirements have to be fulfilled for the opponent status to be considered as transferred (see T 960/08 with reference to case law, see also T 261/03 of 24 November 2005). A new opponent acquires party status as opponent and as party to the opposition appeal proceedings only upon filing documentary evidence of the legal succession with the EPO (T 244/12).

A transfer of an opposition is something that has to be requested at the EPO together with supporting evidence before it can take effect. The effective date of the transfer of an opposition must be taken as the date when the transfer has been requested at the EPO and adequate evidence provided (T 1137/97, T 19/97, T 1421/05, T 1032/10). Pursuant to T 261/03 of 24 November 2005 such a request may also be an implicit one.

Until evidence of the transfer has been provided, the original party to the proceedings continues to have the relevant rights and obligations (T 870/92 of 8 August 1997, T 1137/97, T 413/02). Acts performed before the relevant point in time by the former opponent are valid – provided the former opponent is still in existence and able to act; acts performed by the new opponent are invalid, and may have to be repeated once the change of parties has come into effect (T 2357/12, with reference to T 1514/06).

In case of a universal succession, however, there is necessarily and automatically a continuation of the existing legal status as opponent from the date of merger (T 6/05, see further below); in the case of universal succession, the change may – upon request and production of evidence by either party – be recorded with retroactive effect as from the effective date of the legal succession (T 2357/12).

### 2.6.1 Date of effective transfer

In T 19/97 the board emphasised that there was a clear distinction between the substantive transfer of opponent status as a business asset and its procedural validity in the case at issue. As a formal requirement, the procedural validity of a transfer of opponent

status was dependent on the submission of a duly substantiated request within the proceedings. On grounds of procedural certainty, a change of party based on an assignment could not take place outside the proceedings without the formal cognisance of the board and also could not have retroactive effect, as otherwise procedural acts or decisions could be respectively performed or taken without the involvement of the new opponent as the only legitimate party.

In T.956/03 the board considered the question of the time limit for filing evidence of a transfer. According to the board, the case law showed a definite balance in favour of the view that a transfer could only be acknowledged from, at the earliest, the date when adequate evidence to prove the transfer had been filed. This was desirable in the interest of legal certainty and, within that principle, to ensure that the identity of an opposing party was known. If the transfer took place before the appeal period expired, then the entitlement of the transferee to replace the opponent had to be established by filing the necessary evidence before the appeal period expired.

In T.428/08 the appellant had argued that it ought to be admissible to submit evidence of legal succession after the appeal period had expired, as evidence of prior use could also be submitted after the opposition period had expired without being rejected as grounds for opposition. The board did not follow this argument and relied on case law which made the date when the transfer became valid explicitly dependent on the date when evidence of it was supplied, in keeping with the procedural certainty requirement for the identities of the parties to the proceedings to be clear at all times.

In T.184/11 the board could not share the appellant's view that, following T.956/03, any transfer occurring before the appeal period expired also had to be substantiated by the end of that period. In T.956/03 the board had had to rule on the admissibility of an appeal filed by a party which maintained that it was successor in title to one of the opponents in the first-instance proceedings but failed to provide evidence of that within the appeal period. It was in that light that the principle set out in T.956/03 – that if a transfer occurred before expiry of the appeal period, then the evidence showing that the transferee was entitled to take the opponent's place also had to be submitted by the end of that period – was to be understood. In the case at issue, however, a party that had been opponent in the first-instance proceedings had initially been respondent in the appeal proceedings, and only during the latter was transfer of party status requested. This request was granted during the oral proceedings before the board, once the requisite evidence of the transfer of opposition had been provided. See also T.1563/13.

In T.6/05 the board drew a distinction between those cases where the opponent status is transferred together with the assignment of business assets and the cases of universal succession via merger – like the case at issue. Whereas in the former cases, the party status might either remain with the original opponent or be transferred to the new one, the universal successor of a patent proprietor automatically acquired party status in proceedings pending before the EPO, since R.20(3) EPC 1973 did not apply in the context of universal succession in law. The successor acquired party status from the date on which the merger became effective and not only once sufficient evidence to this effect had been produced. The principles for transferring a European patent were to be applied

mutatis mutandis to the transfer of opponent status. In the case of the universal succession of the opponent, there could only be one (legal) person who had rights and obligations, with the consequence that there was necessarily and automatically a continuation of the existing legal status as opponent from the date of merger. It could thus be established unambiguously and without any legal uncertainty, at any point in time in the proceedings, who in fact was the opponent having party status, regardless of the date when sufficient evidence to this effect was filed (see also T 425/05 and T 2382/10).

In T 7/17 the board recalled that, when a pending opposition was transferred or assigned to a third party as part of the opponent's business assets together with the assets in the interests of which the opposition had been filed, the party status as opponent was transferred only with effect from when an allowable request for transfer of the opponent status was received.

#### 2.6.2 What kind of evidence suffices

If no evidence of legal succession is produced, the mere declaration by a company designated as legal successor to the original opponent that it is the original opponent's legal successor is not sufficient to substantiate the transfer of the status of opponent and of party to the appeal proceedings (T 670/95).

In T 261/03 of 24 November 2005 the board of appeal considered what kind of evidence was required to establish a valid transfer. The board drew parallels with the requirements of R. 20 EPC 1973 and noted that it was not aware of any appeal decision that had held that the documents to be submitted according to this provision have to prove the alleged transfer "up to the hilt". Such a yardstick of full and absolute proof would indeed be overly strict since in many situations documentary evidence alone could then hardly suffice. As the wording of R. 20(1) EPC 1973 suggested, something less was required. The board took the view that the requirements of R. 20 EPC 1973 were complied with if the documents submitted were such as to render it credible to the competent organ of the EPO, evaluating the documents in a reasonable way and in the light of all the circumstances, that the alleged facts were true. The mere fact that another document might have been a more direct piece of evidence than the one submitted by the appellant does not invalidate the proof actually offered (see T 273/02, applied in T 1178/04).

In T 1513/12 the board refused a request for a transfer of opponent status because, although the filed extracts from a commercial register showed there had been a spin-off, they did not contain any evidence of a transfer. In particular, no extracts from the spin-off agreement or from the agreements negotiated in connection with it, which could have proved the transfer more conclusively, had been filed.

In T 347/15, it was not clear from the submitted documents whether the opponent status had in fact been transferred. The two trade register extracts showed that the company had been restructured as per a restructuring agreement ("*Ausgliederungsvertrag*"), but they did not contain any information about the transfer of assets. It was therefore not possible to establish whether the opposition had indeed been filed in the interests of the part of the company at issue. No part of the restructuring agreement or of any addendum to that

agreement had been submitted. Consequently, the board refused the request to transfer the opponent status.

In T.219/15 the board refused the request for transfer of the opponent status. The appellant had provided the purchase agreement, but that agreement did not demonstrate that the relevant business assets, i.e. the opposition proceedings relating to the patent in suit, were sold to the other company.

In T.2016/12 the board rejected the transfer of a specific part of the original appellant's (ATech Ltd) business assets to the purported transferee (AES AG). The board had requested the submission of the contracts concluded between the legal entities involved in the merger; the opponent had replied, however, that such contracts could not be provided for reasons of confidentiality. Other evidence presented was not conclusive. Furthermore, the board considered that if a transfer was not unequivocally proven, the original party to the proceedings would normally continue to be considered as the appellant. In the case in issue, ATech Ltd (the original party) allegedly continued to exist under its new name of GETech GmbH. However, from the two extracts of the commercial register concerning GETech GmbH, it was apparent that some assets had been transferred according to a separation plan to yet another company. The party provided no details as to this split or the business assets involved. The evidence indicated that GETech GmbH did not become the universal successor to that party through a complete acquisition of the entire business of the original party and a successive simple change of name. Therefore, it also could not be concluded that GETech GmbH was a party to the proceedings. Under these circumstances, the board could not reliably establish ownership of the business assets to which the opposition and appeal belonged. Consequently the board could not continue the proceedings, which therefore had to be terminated.

In T.234/18 the board recalled that being party to a pending opposition is not a property right but a procedural right and concluded that this procedural right was not covered by the term "intellectual property rights" in the purchase agreement filed as evidence. Since according to the case law of the boards of appeal an automatic transfer occurred only in the case of universal succession, but not where particular business assets were transferred from one party to another (see T.6/05 and T.1421/05), the request to register the purchaser as opponent could not be granted.

In T.7/17 the board held that the requirements for a transfer of party status as appellant-opponent were not met. It was not sufficiently proven that all relevant business assets in the interests of which the opposition had been filed had been transferred; nor was it proven that the opposition had been transferred. Where a company contractually transferred the business assets in the interests of which an opposition had initially been filed, it was a matter of what the parties had agreed whether or not the opposition – i.e. the party status as opponent – was transferred together with these assets. The board also noted that it was for the opponent or the third party seeking the party status as opponent to prove that all assets in the interests of which the opposition had been filed had been transferred.